ALWAYS GO FOR CONSOLIDATED STATEMENT

So, whenever we talk about the sales and profits of a company, we always refer to the consolidated financial statement. It includes all the parts a company owns. In contrast, the standalone statement shows the figures for the parent company.

It doesn't show the complete picture that is shown by the consolidated statement by accounting for everything that the parent company owns. And it also makes a lot more sense to look at the total numbers rather than just how the business ownership is distributed.

Consolidated Financial Statements must be used at all times to enter raw numbers for past performance unless otherwise stated. We will use Standalone under very few instances, for most analysis Consolidated statements will be used.

If you are looking for details like the debt-to-equity ratio, you must use consolidated numbers to calculate the same.

If there are no subsidiaries then,

Standalone Financial Statement

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Consolidated Financial Statement

If, however, a company does not have any subsidiaries, then it will not disclose two different sets of statements. Consolidated and standalone statements are one and the same in this case. Thus, if you find companies that have released just one set of statements, you can be assured that the company does not have any subsidiaries.